

In Defense of the Stock Exchange

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It is one of the paradoxes of modern life that so many of its institutions are misunderstood almost in proportion to their real usefulness to society. Undoubtedly this is the case with stock exchanges. Many people see in the stock market only its momentary speculative surface, and never look beneath this restless froth and foam into the great economic tides which flow through it. To such a shortsighted view, stock exchanges take on the appearance of mere gambling casinos, where reckless wagers may be placed upon the meaningless fluctuations of prices. It seems needless to remark that if this were really the truth, the sooner all stock exchanges were abolished the better.

The confusion concerning the nature and functions of security markets is always greatest during depressions, when the shrinkage of earning power in industry inevitably impairs credit and depresses security and commodity prices. Investors and speculators alike experience severe losses, and very humanly wish to find a scapegoat for what in many cases are their own errors of judgment. One cannot easily attack the abstract law of supply and demand. It is always far easier to assail the stock exchanges. Such recurrent waves of fallacious opinion should not be taken too seriously. After all, short of a complete revolution in our whole eco-